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Seagate: qualified capacity, realized pricing and shareholder cash

Seagate captures the storage buildout through high-capacity drives that customers can qualify, deploy and buy. HAMR raises the bytes delivered per drive; heads, media, process cycles and field reliability constrain how quickly those bytes become accepted shipments. The investment case combines rising capacity density with better realized pricing and a disciplined cost base.

The current Q4 2027 ceiling is $1,334.40 per share. It values Q4 2027 through Q3 2028 adjusted operating profit at 20x using a 233 million diluted-share proxy. The operating forecast carries eight explicit combinations of qualification timing, scarcity realization and competing supply.

Research date: 4 November 2026. Financial tables use USD millions and whole amounts, shares in millions, capacity in exabytes and prices in USD per terabyte. Exact values remain in the linked model. The dated September 21 close of $877.33 is preserved as historical context.

Current measure	Value
Active quarter	Q4 2027
Four-quarter adjusted OP	15,546
Ceiling / share	$1,334.40
Method	20x adjusted OP / 233M shares
Analytical score	47/60 = 78/100
Protected Excel Base	78/100

Current selected model and separate protected owner control.

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Earnings dates, period mapping and business economics

The earnings event and supplemental presentation are dated October 27, 2026. The release PDF carries an October 28 dateline. Fiscal Q1 FY2027 ended October 2 and maps to the Q3 2026 actual reference. Q4 2026 is the first current forecast quarter. The already published Q3 forecast and its original four-quarter ceiling remain preserved as a dated historical snapshot.

Nearline HDD offers low-cost persistent storage at exabyte scale. SSDs serve latency and performance requirements that can justify a higher cost per byte. Seagate competes with Western Digital and Toshiba on capacity, reliability, qualification, availability and total ownership cost. No source establishes an easily reproducible microcap substitute for its integrated recording platform.

Customer storage commitments supply visibility, while shipment acceptance still depends on customer deployment and product qualification. Current supply allocations extending through calendar 2028 support the duration of demand; they do not independently disclose future margins.

Markets and Technology Highlights



- Data Center represented 90% of exabyte shipments at 198EB, up ~24% YoY
- Vast majority of Data Center nearline supply allocated through CY28, with some cloud supply agreements extending through CY30
- Data Center revenue of $3.4B, up 63% YoY with sustained Cloud and Enterprise/OEM demand
- Cloud remains the primary demand driver, with 12 consecutive quarters of revenue growth
- Enterprise/OEM revenue grew for the sixth consecutive quarter, increasing double digits both sequentially and YoY as demand strengthened across hybrid-cloud environments



- Executing our technology roadmap anchored by HAMR technology to address exabyte growth by increasing capacity per drive rather than increasing drive unit production
- Mozaic 4 ramping with two leading CSPs, additional CSP and Enterprise/OEM qualifications expected to complete in the coming months
- Mozaic 5 qualification shipments on track to begin toward the end of CY27
- Demonstrated 8TB per disk in the lab, reinforcing the scalability of the Mozaic platform

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Issuer technology and market highlights, October 27, 2026.

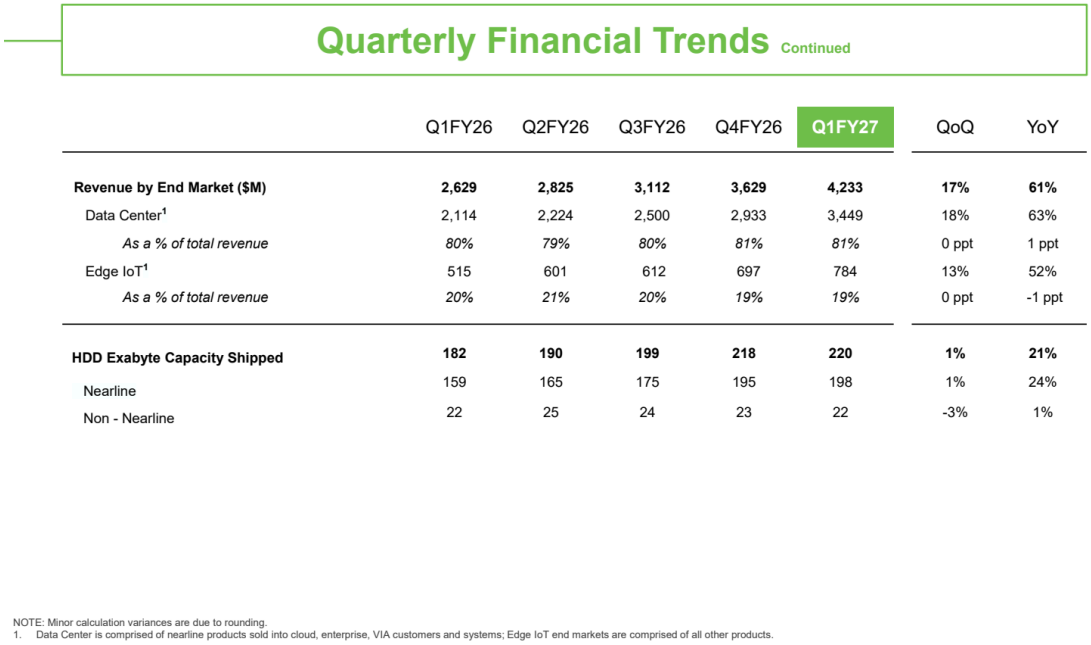
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Latest actual results

Revenue reached $4,233 million. Data-center revenue was $3,449 million and Edge revenue was $784 million, with 198 nearline EB and 220 total EB shipped. The actual figures establish the starting commercial position. They remain separate from the immutable forecast previously published for the same calendar bucket.

GAAP gross profit of $2,427 million less $363 million of operating expense produced $2,064 million of operating profit. Adjusted gross profit was $2,447 million, operating expense $300 million and operating profit $2,147 million.

Sources: S13 release; S14 supplement, pages5-6 and 11.



Quarterly Financial Trends Continued

	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27	QoQ	YoY
Revenue by End Market ($M)	**2,629**	**2,825**	**3,112**	**3,629**	**4,233**	**17%**	**61%**
Data Center[1]	2,114	2,224	2,500	2,933	3,449	18%	63%
As a % of total revenue	*80%*	*79%*	*80%*	*81%*	*81%*	0 ppt	1 ppt
Edge IoT[1]	515	601	612	697	784	13%	52%
As a % of total revenue	*20%*	*21%*	*20%*	*19%*	*19%*	0 ppt	-1 ppt
HDD Exabyte Capacity Shipped	**182**	**190**	**199**	**218**	**220**	**1%**	**21%**
Nearline	159	165	175	195	198	1%	24%
Non - Nearline	22	25	24	23	22	-3%	1%

NOTE: Minor calculation variances are due to rounding.
1. Data Center is comprised of nearline products sold into cloud, enterprise, VIA customers and systems; Edge IoT end markets are comprised of all other products.

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Issuer end-market revenue and shipment data, October 27, 2026.

FY2027 Q1 actual	GAAP	Adjusted
Revenue	4,233	4,233
Gross profit	2,427	2,447
Opex excluding COGS	363	300
Operating profit	2,064	2,147
Net income	1,761	1,781
Diluted EPS	7.59	7.68

USD millions unless stated; forecasts are model estimates.

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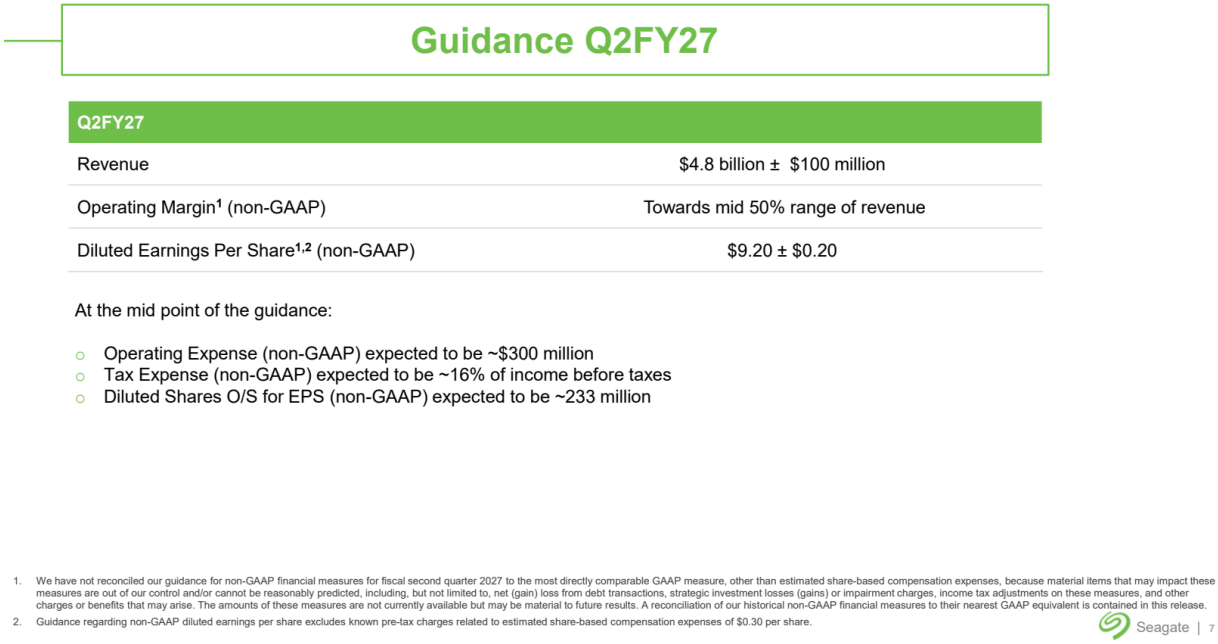
December guidance and the common starting point

Management guided revenue to $4,800 million plus or minus $100 million and adjusted EPS to $9.20 plus or minus $0.20. The model uses the midpoint, approximately $300 million adjusted opex, a 16% tax rate, 233 million diluted shares and $25 million net other expense.

The operating-profit bridge is $9.20 x 233 / (1 - 16%) + $25 million = $2,576.904762 million. Adding $300 million of opex implies $2,876.904762 million gross profit. The resulting operating margin is 53.69% and gross margin 59.94%. These derived margins reconcile the selected midpoint inputs; management described operating margin between 50% and 55%.

Every probability branch starts from this same consolidated guide. The current-quarter anchor absorbs recognized pricing and the earlier finite Edge episode. Product allocation, 225 nearline EB and the 47.5% average HAMR mix are analytical calibration choices with LOW confidence.

Sources: S14 supplement, page7; S15 October27 call.



Guidance Q2FY27

Q2FY27	
Revenue	$4.8 billion ± $100 million
Operating Margin[1] (non-GAAP)	Towards mid 50% range of revenue
Diluted Earnings Per Share[1,2] (non-GAAP)	$9.20 ± $0.20

At the mid point of the guidance:

- Operating Expense (non-GAAP) expected to be ~$300 million
- Tax Expense (non-GAAP) expected to be ~16% of income before taxes
- Diluted Shares O/S for EPS (non-GAAP) expected to be ~233 million

1. We have not reconciled our guidance for non-GAAP financial measures for fiscal second quarter 2027 to the most directly comparable GAAP measure, other than estimated share-based compensation expenses, because material items that may impact these measures are out of our control and/or cannot be reasonably predicted, including, but not limited to, net (gain) loss from debt transactions, strategic investment losses (gains) or impairment charges, income tax adjustments on these measures, and other charges or benefits that may arise. The amounts of these measures are not currently available but may be material to future results. A reconciliation of our historical non-GAAP financial measures to their nearest GAAP equivalent is contained in this release.
2. Guidance regarding non-GAAP diluted earnings per share excludes known pre-tax charges related to estimated share-based compensation expenses of $0.30 per share.

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Issuer fiscal Q2 FY2027 guidance, October 27, 2026. Calendar model Q4 2026.

Model guide calibration	Value
Revenue	4,800
Derived adjusted OP	2,577
Opex	300
Derived gross profit	2,877
Derived OP / gross margin	53.7% / 59.9%

USD millions unless stated; forecasts are model estimates.

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Adjusted earnings, ordinary costs and stock compensation

The sanctioned valuation uses adjusted operating profit. Ordinary production depreciation remains inside this measure. The model separately deducts recurring stock-compensation-related costs and acquisition amortization to build a recurring GAAP-style operating bridge for tax and cash.

The quarter excluded $77 million of stock-compensation-related expense: $18 million in COGS and $59 million in opex. The cash-flow statement added back $63 million of noncash compensation. The $14 million difference is a cash-like residual proxy; the issuer includes employer payroll taxes in this adjustment category, while instrument-level reconciliation remains unavailable.

The current guide-derived compensation cost is $69.9 million, split in the same 63/77 noncash proportion. Each component enters the cash bridge once. The $2 million actual acquisition amortization and $4 million restructuring are shown separately. Future recurring amortization follows a finite remaining balance; no future acquisition or restructuring is selected.

Sources: S14 supplement, page11; FY2027 Q1 Form10-Q.

Reconciliation of GAAP Gross Profit to Non-GAAP Gross Profit ($M)	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
GAAP Gross Profit	**$ 1,037**	**$ 1,176**	**$ 1,447**	**$ 1,898**	**$ 2,427**
Amortization of acquired intangible assets	3	2	2	1	2
Share-based compensation related charges	14	13	14	13	18
Non-GAAP Gross Profit	**$ 1,054**	**$ 1,191**	**$ 1,463**	**$ 1,912**	**$ 2,447**
GAAP Gross Margin %	39.4%	41.6%	46.5%	52.3%	57.3%
Non-GAAP Gross Margin %	40.1%	42.2%	47.0%	52.7%	57.8%

Reconciliation of GAAP Operating Expenses to Non-GAAP Operating Expenses ($M)	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
GAAP Operating Expenses	**$ 343**	**$ 333**	**$ 449**	**$ 339**	**$ 363**
Acquisition-related charges	(1)	—	—	—	—
Legal settlement	—	—	(105)	—	—
Restructuring and other, net	(13)	(3)	(7)	(4)	(4)
Share-based compensation related charges	(38)	(40)	(40)	(41)	(59)
Other charges	—	—	(1)	(1)	—
Non-GAAP Operating Expenses	**$ 291**	**$ 290**	**$ 296**	**$ 293**	**$ 300**

Reconciliation of GAAP Income From Operations to Non-GAAP Income From Operations ($M)	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
GAAP Income From Operations	**$ 694**	**$ 843**	**$ 998**	**$ 1,559**	**$ 2,064**
Acquisition-related charges	1	—	—	—	—
Amortization of acquired intangible assets	3	2	2	1	2
Legal settlement	—	—	105	—	—
Restructuring and other, net	13	3	7	4	4
Share-based compensation related charges	52	53	54	54	77
Other charges	—	—	1	1	—
Non-GAAP Income From Operations	**$ 763**	**$ 901**	**$ 1,167**	**$ 1,619**	**$ 2,147**
GAAP Operating Margin %	26.4 %	29.8 %	32.1 %	43.0 %	48.8 %
Non-GAAP Operating Margin %	29.0 %	31.9 %	37.5 %	44.6 %	50.7 %

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Issuer reconciliation of GAAP and adjusted gross profit and operating income.

Latest actual reconciliation	USD M
GAAP OP	2064
Stock compensation related	77
Acquired amortization	2
Restructuring	4
Adjusted OP	2147
Noncash SBC addback	63
Cash-like SBC residual	14

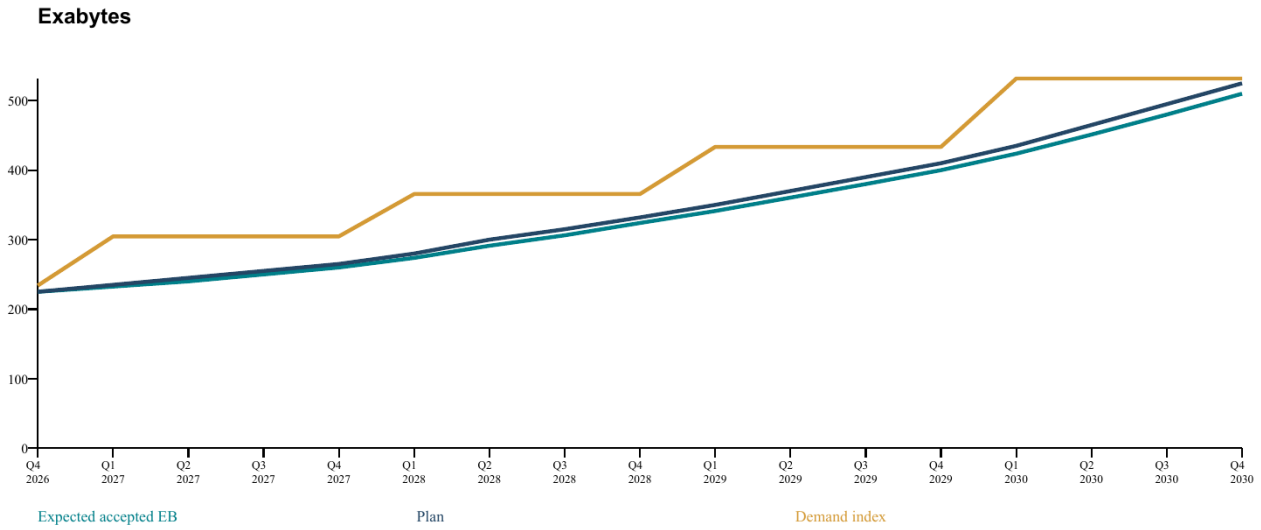
USD millions unless stated; forecasts are model estimates.

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Physical demand, qualification and capacity

The 2027-30 demand index retains the established cloud-storage spending and retention assumptions. Actual revenue only follows accepted exabytes. The timely plan begins at 225 EB in December and reaches 525 EB by Q4 2030, bounded by the demand index. The probability-weighted result reaches 510 EB.

A 25% qualification-delay branch shifts the nearline plan and HAMR average mix by two quarters from the first later forecast quarter. Its costs, depreciation, working capital and shareholder cash are recalculated with the lower accepted output. The 75% timely branch follows the selected ramp. Density and shipped exabytes describe the same physical conversion and receive one revenue contribution.



Exabytes. Selected model estimates; probabilities are included once.

Quarter	Expected shipped EB	Plan EB	Demand index	Expected HAMR mix
Q4 2026	225	225	234	47.5%
Q1 2027	232	235	305	53.1%
Q2 2027	240	245	305	60.6%
Q3 2027	250	255	305	66.2%
Q4 2027	260	265	305	72.5%
Q1 2028	274	280	366	77.5%
Q2 2028	291	300	366	81.7%
Q3 2028	306	315	366	85.2%
Q4 2028	324	332	366	88.5%
Q1 2029	341	350	433	90.0%
Q2 2029	360	370	433	91.5%
Q3 2029	380	390	433	92.5%
Q4 2029	400	410	433	93.5%
Q1 2030	424	435	532	94.5%
Q2 2030	451	465	532	95.1%
Q3 2030	480	495	532	95.7%
Q4 2030	510	525	532	96.2%

EB capacity; all forward quantities and mix are model assumptions.

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HAMR execution and product substitution

HAMR and other data-center HDDs divide the same nearline output. The selected relative price factor of 1.04 normalizes their revenue shares inside the blended data-center price. Product gross margins are estimated allocations calibrated to the consolidated guide.

Mozaic qualification, stable field performance, process yields and customer deployment must support the density roadmap. Higher capacity per drive can raise exabyte supply while completed drive units remain broadly constrained. Repeated process steps, heads/media content, tooling and warranty experience continue to consume resources.

The thesis weakens if accepted capacity lags the plan, internal cost reductions fail or SSD economics remove the HDD advantage in relevant workloads. Other manufacturers can narrow Seagate's relative lead as their own qualified capacity improves.

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Contract realization and the finite scarcity branch

The October 20 Morgan Stanley preview supplies the retained $40 per TB conditional endpoint. The selected scarcity probability is 30%, eligibility is 10% of qualified nearline volume and realization follows a finite phase. Exact manufacturer capture, contract cohorts and transaction volumes remain unknown.

The calculation subtracts the December conditional rent already absorbed by current guidance. Only a positive later residual is added. It carries a 10% incremental COGS allowance and 3% operating support, while ordinary factory costs remain paid. The premium fades during 2029 and is zero thereafter.

This treatment separates ordinary reference pricing from a limited uncovered cohort. An industry shortage or channel transaction does not create extra Seagate shipments.

Sources: HDD-P2 pages2-3, October20; S15 October27 call.



Morgan Stanley | RESEARCH

IDEA

are 10%+ above Street EPS forecasts in the December quarter (and think we could still be conservative in areas).

At the same time, we acknowledge the HDD catalyst path is cloudier today vs. a month ago – the market faces uncertainty on vendor rationality and sources of AI funding that won't be solved with earnings, and we have reduced our target multiples as a result. **But at ~8x P/E, current valuation implies HDD earnings peak in FY28 and that SSD pricing declines 80% over the next 2-3 years, severely limiting HDD pricing upside (more below).** Plausible? Sure. But (1) is that overly punitive given what we know about HDD, and broader AI, demand, and (2) does that create a positive asymmetrical setup where we can buy on oversold discounts? Yes, absolutely, in our view. As a result, we reiterate our Overweight rating on both STX ($1,200 PT; 82% upside) and WDC ($643 PT; 83% upside) and reinstate STX as our 'Top Pick' in IT Hardware.

First, let's get into the details of our recent checks – Toshiba, demand, pricing, etc. On Toshiba, our checks suggest there is little new HDD supply/demand risk – Toshiba remains gated by parts of the HDD supply chain (media, equipment), they are effectively already sold out of capacity for CY27, and recent expectations for a ~400EB HDD industry supply shortfall in CY27/CY28 (vs. 300EBs in CY26) are consistent with our checks a month ago. Also, the more work we do on Toshiba, the more it sounds like they are *more* aggressive on pricing than STX/WDC. Said differently, we remain comfortable with the Toshiba risk, despite the evolving headlines. On HDD demand and pricing – our checks make clear that EB demand has accelerated in recent months (recent cloud checks would support this), and that the customer base is broadening from core CSPs to new AI-centric customers (e.g. frontier labs) trying to buy HDD capacity in size (i.e. 100's of EBs). Supply shortages are limiting their ability to procure in size, but desperation for storage capacity is also pushing spot nearline HDD prices higher – we continue to hear about recent non-contracted deals getting closed at 4¢/GB up to 7¢/GB (vs. blended nearline pricing at ~1.5¢/GB today). Finally, non-nearline HDD pricing remains extremely strong – and as NAND prices continue their march higher, the HDD industry is persistently raising non-nearline prices 15-30%+ Q/Q to capture better margins. It is our understanding all of these trends are consistent for both STX and WDC, although STX appears to be a bit more aggressive in capturing floating (e.g. spot) prices than WDC.

What does this mean for the STX/WDC earnings setup? A September quarter beat and a better-than expected pricing and profitability-driven raise in the December quarter. Somewhat controversially, we think this quarter's earnings setup is more attractive for WDC. Based on our investor conversations over the past month, we sense that investors are a bit less aggressive in modeling STX/WDC fundamentals, reflecting tempered enthusiasm following share underperformance over the past 90 days and recent Toshiba headlines (see here, here, and here). When juxtaposed versus the strength in our checks above, we believe the earnings setup for both WDC (Oct 22nd) and STX (Oct 27th) is attractive. And given the lower buyside bar at WDC, we think the F1Q earnings setup could be better for WDC over STX.

- **For STX:** For the September quarter, we forecast revenue of $4.16B (vs.

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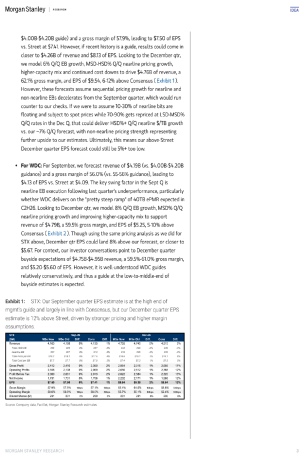
HDD-P2, original page 2. Morgan Stanley Research, October 20, 2026 at 03:44 UTC. Private licensed source exhibit. Price checks, unmet industry demand and broker forecasts have different scopes; source targets and probabilities are not imported.

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Pricing transmission, eligible volume and overlap

The probability-weighted company contribution depends on accepted EB, eligible share, timing and the incremental price above the current-quarter overlap allowance. The full conditional endpoint never becomes the blended company price.

The earlier finite Edge price episode is absorbed by the latest actual and December guidance. The current model has no separate residual addition for that old episode. Edge starts from an $820 million analytical allocation and follows its selected revenue path. Renewed exceptional repricing would need fresh evidence and a distinct cohort.



HDD-P2, original page 3. The floating-share illustration is hypothetical; forward earnings and targets are bank forecasts. Source exhibits are preserved privately, with original numbers unchanged.

Quarter	Normal USD/TB	Expected extra USD/TB	Expected scarcity R	Expected competitor R loss
Q4 2026	17.69	0.00	0	0
Q1 2027	18.22	0.16	37	0
Q2 2027	18.58	0.31	75	0
Q3 2027	18.96	0.46	116	0
Q4 2027	19.15	0.46	119	12
Q1 2028	19.15	0.46	125	26
Q2 2028	19.15	0.46	133	42
Q3 2028	19.15	0.46	140	59
Q4 2028	19.15	0.46	148	62
Q1 2029	19.10	0.30	103	33
Q2 2029	19.05	0.15	53	34
Q3 2029	19.00	0.00	0	36
Q4 2029	18.95	0.00	0	38
Q1 2030	18.86	0.00	0	40
Q2 2030	18.77	0.00	0	42
Q3 2030	18.67	0.00	0	45
Q4 2030	18.58	0.00	0	47

USD millions unless stated; forecasts are model estimates.

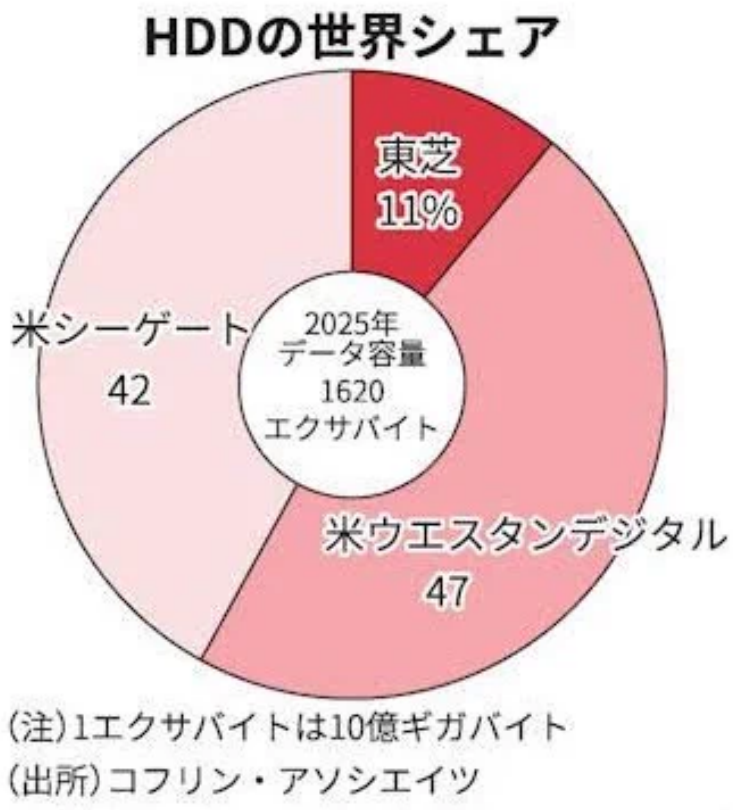
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Competing qualified supply

The Toshiba branch assigns a 50% probability to a 4% conditional concession on 50% of eligible normal data-center sales. Phase begins at 25% in Q4 2027, reaches full realization in Q3 2028 and removes 50% overlap from 2029 because the reference already normalizes.

The concession reduces then-current normal qualified sales. Manufacturing costs remain paid, and the scarcity increment receives no additional concession or volume shock. This expresses one bounded competitive channel. The dated 2025 capacity-share exhibit measures storage bytes, and carries no current market-share forecast.

Sources: TOS-1 October2 release; S15 call; dated2025 Nikkei exhibit.



Inherited Nikkei / Techno Systems Research exhibit, 2025 storage-capacity basis: Toshiba 11%, WDC 47%, Seagate 42%; total 1,620 EB. Original pixels and source decimals remain unchanged. Capacity share is distinct from revenue, drive-unit share and incremental factory output.

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Eight joint operating outcomes

Qualification timing, scarcity realization and competitive concession are combined under an explicit conditional-independence assumption. The eight probabilities sum to 100%. All operating, asset, cash and financing consequences are calculated inside each path before aggregation.

The active price ceiling is the probability-weighted result after the operating scenarios. The analytical score is a separate assessment and does not multiply earnings or the ceiling.

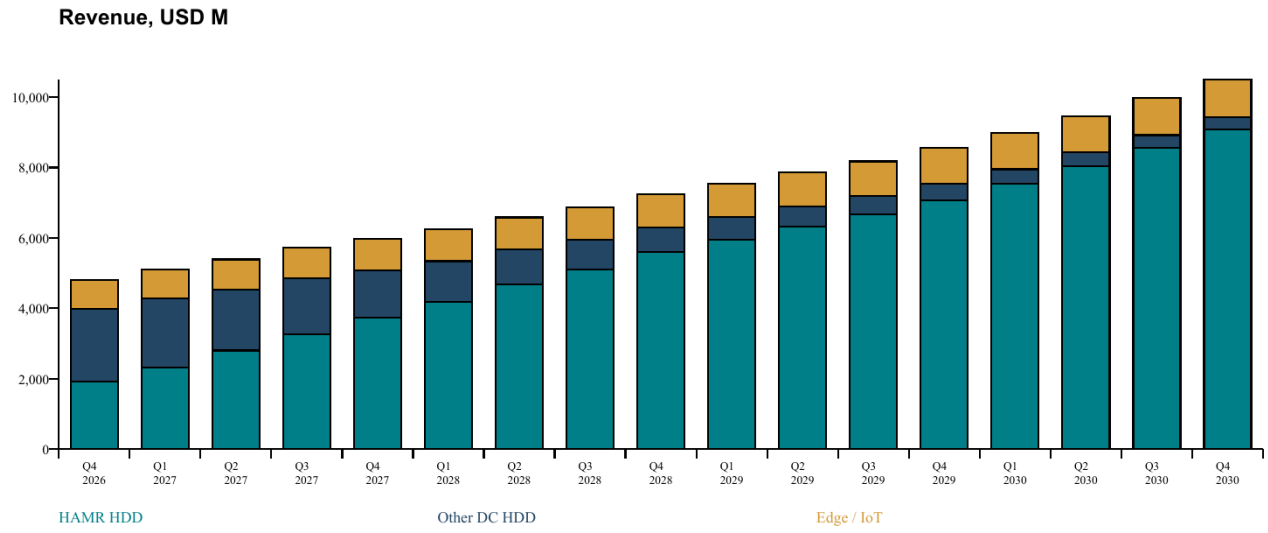
Delay	Scarcity	Competition	Probability	F4 adjusted OP	Q4 2027 ceiling
False	False	False	26.2%	15,682	$1,346.06
False	False	True	26.2%	15,406	$1,322.38
False	True	False	11.2%	17,197	$1,476.10
False	True	True	11.2%	16,921	$1,452.42
True	False	False	8.8%	13,903	$1,193.38
True	False	True	8.8%	13,656	$1,172.20
True	True	False	3.8%	15,267	$1,310.51
True	True	True	3.8%	15,021	$1,289.33

USD millions unless stated; forecasts are model estimates.

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Quarterly product revenue

The product pools are HAMR data-center HDD, other data-center HDD and Edge/IoT. HAMR replaces part of the same data-center capacity pool. Product prices and costs are analytical allocations; disclosed consolidated guidance anchors the first quarter.



Revenue, USD M. Selected model estimates; probabilities are included once.

Quarter	HAMR HDD	Other DC HDD	Edge / IoT	Total
Q4 2026	1,929	2,051	820	4,800
Q1 2027	2,314	1,959	835	5,108
Q2 2027	2,803	1,732	850	5,386
Q3 2027	3,269	1,586	870	5,725
Q4 2027	3,732	1,352	885	5,969
Q1 2028	4,183	1,157	900	6,240
Q2 2028	4,677	991	915	6,583
Q3 2028	5,105	839	930	6,875
Q4 2028	5,598	692	950	7,240
Q1 2029	5,957	631	960	7,548
Q2 2029	6,324	562	975	7,861
Q3 2029	6,668	517	990	8,175
Q4 2029	7,074	470	1,010	8,554
Q1 2030	7,533	418	1,020	8,972
Q2 2030	8,033	393	1,035	9,461
Q3 2030	8,555	363	1,050	9,968
Q4 2030	9,089	338	1,070	10,498

USD millions unless stated; forecasts are model estimates.

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HAMR data-center HDD cost and gross-profit bridge

The guide-calibrated cost base is split between variable and fixed manufacturing. The model allocates 85% of ordinary depreciation and lease expense to COGS, adds warranty provision explicitly, and retains the separate incremental scarcity allowance.

Internal efficiency and external component inflation form a weighted aggregate approximation. The forward product margin depends on these selected cost assumptions and accepted volume. Product-level margins and fixed/variable cost shares are LOW confidence.

Quarter	Revenue	Variable COGS	Fixed COGS	DA + rent	Total COGS	Gross profit	GM
Q4 2026	1,929	426	142	26	607	1,323	68.6%
Q1 2027	2,314	486	143	29	674	1,640	70.9%
Q2 2027	2,803	568	144	32	763	2,040	72.8%
Q3 2027	3,269	637	145	36	842	2,427	74.3%
Q4 2027	3,732	715	146	40	925	2,807	75.2%
Q1 2028	4,183	794	147	43	1,011	3,172	75.8%
Q2 2028	4,677	880	148	46	1,103	3,574	76.4%
Q3 2028	5,105	953	150	49	1,182	3,923	76.8%
Q4 2028	5,598	1,033	151	53	1,269	4,329	77.3%
Q1 2029	5,957	1,092	152	57	1,330	4,627	77.7%
Q2 2029	6,324	1,158	153	60	1,397	4,927	77.9%
Q3 2029	6,668	1,219	154	64	1,460	5,208	78.1%
Q4 2029	7,074	1,281	155	69	1,528	5,546	78.4%
Q1 2030	7,533	1,356	156	73	1,609	5,924	78.6%
Q2 2030	8,033	1,436	157	78	1,696	6,336	78.9%
Q3 2030	8,555	1,519	159	83	1,787	6,767	79.1%
Q4 2030	9,089	1,603	160	88	1,879	7,210	79.3%

USD millions unless stated; forecasts are model estimates.

STX | 4 NOVEMBER 2026 | FRAMEWORK 8.0

Other data-center HDD cost and gross-profit bridge

The guide-calibrated cost base is split between variable and fixed manufacturing. The model allocates 85% of ordinary depreciation and lease expense to COGS, adds warranty provision explicitly, and retains the separate incremental scarcity allowance.

Internal efficiency and external component inflation form a weighted aggregate approximation. The forward product margin depends on these selected cost assumptions and accepted volume. Product-level margins and fixed/variable cost shares are LOW confidence.

Quarter	Revenue	Variable COGS	Fixed COGS	DA + rent	Total COGS	Gross profit	GM
Q4 2026	2,051	590	197	36	841	1,210	59.0%
Q1 2027	1,959	542	198	40	801	1,158	59.1%
Q2 2027	1,732	466	200	45	733	999	57.7%
Q3 2027	1,586	415	201	50	691	895	56.4%
Q4 2027	1,352	351	203	55	634	718	53.1%
Q1 2028	1,157	301	204	59	590	567	49.0%
Q2 2028	991	258	206	64	554	437	44.1%
Q3 2028	839	218	207	68	521	318	37.9%
Q4 2028	692	180	209	73	490	202	29.2%
Q1 2029	631	164	210	78	482	149	23.6%
Q2 2029	562	148	212	84	473	89	15.9%
Q3 2029	517	137	213	89	470	47	9.1%
Q4 2029	470	124	215	95	466	4	0.8%
Q1 2030	418	111	217	101	462	(44)	-10.5%
Q2 2030	393	104	218	108	466	(73)	-18.5%
Q3 2030	363	97	220	115	468	(105)	-29.0%
Q4 2030	338	90	221	122	473	(134)	-39.7%

USD millions unless stated; forecasts are model estimates.

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Edge and IoT cost and gross-profit bridge

The guide-calibrated cost base is split between variable and fixed manufacturing. The model allocates 85% of ordinary depreciation and lease expense to COGS, adds warranty provision explicitly, and retains the separate incremental scarcity allowance.

Internal efficiency and external component inflation form a weighted aggregate approximation. The forward product margin depends on these selected cost assumptions and accepted volume. Product-level margins and fixed/variable cost shares are LOW confidence.

Quarter	Revenue	Variable COGS	Fixed COGS	DA + rent	Total COGS	Gross profit	GM
Q4 2026	820	334	111	20	476	344	42.0%
Q1 2027	835	341	112	23	486	349	41.8%
Q2 2027	850	348	113	25	498	352	41.5%
Q3 2027	870	357	114	28	511	359	41.3%
Q4 2027	885	364	115	31	522	363	41.0%
Q1 2028	900	371	115	33	533	367	40.8%
Q2 2028	915	378	116	36	544	371	40.5%
Q3 2028	930	385	117	39	556	374	40.3%
Q4 2028	950	395	118	41	569	381	40.1%
Q1 2029	960	400	119	44	579	381	39.7%
Q2 2029	975	407	120	47	591	384	39.4%
Q3 2029	990	414	121	51	603	387	39.1%
Q4 2029	1,010	424	122	54	617	393	38.9%
Q1 2030	1,020	429	123	57	628	392	38.5%
Q2 2030	1,035	436	123	61	641	394	38.1%
Q3 2030	1,050	444	124	65	654	396	37.7%
Q4 2030	1,070	453	125	69	670	400	37.4%

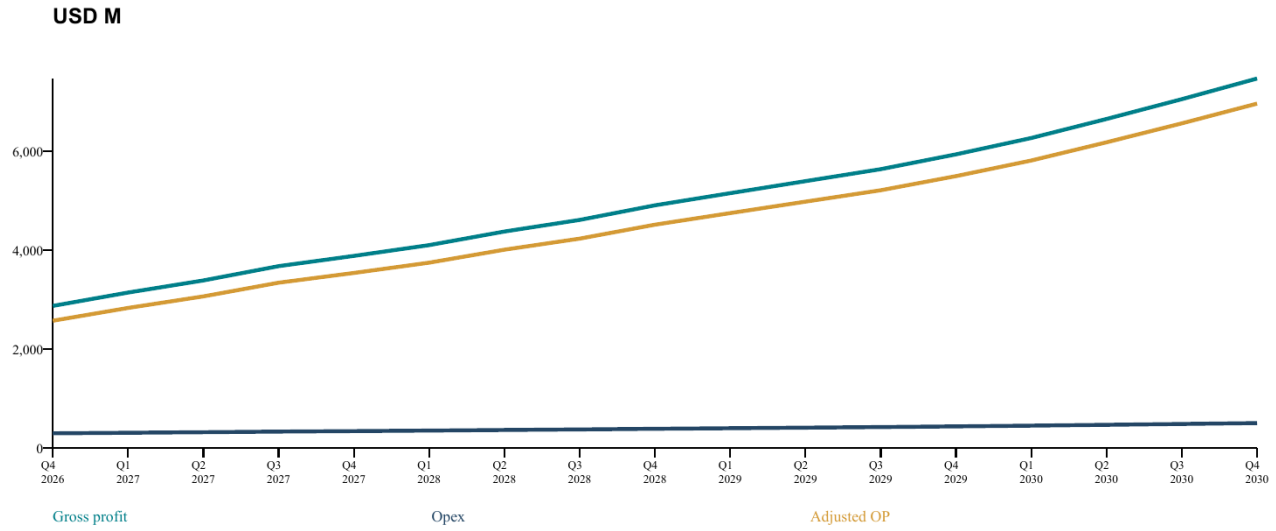
USD millions unless stated; forecasts are model estimates.

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Consolidated operating forecast

Variable non-depreciation opex tracks revenue excluding the scarcity increment. Fixed non-depreciation opex grows at 5% annually; ordinary depreciation and rent are added once. Incremental scarcity support remains a separate 3% cost.

The source does not disclose a future product bill of materials or a consolidated outer-year margin target. Stronger forecast margins require the selected mix, volume and internal-efficiency assumptions to hold alongside the explicit input-cost inflation.



USD M. Selected model estimates; probabilities are included once.

Quarter	Revenue	COGS	Gross profit	Opex	Adjusted OP	OP margin
Q4 2026	4,800	1,923	2,877	300	2,577	53.7%
Q1 2027	5,108	1,961	3,147	311	2,836	55.5%
Q2 2027	5,386	1,994	3,392	322	3,069	57.0%
Q3 2027	5,725	2,044	3,681	335	3,346	58.5%
Q4 2027	5,969	2,081	3,888	345	3,543	59.4%
Q1 2028	6,240	2,134	4,106	355	3,751	60.1%
Q2 2028	6,583	2,201	4,381	367	4,014	61.0%
Q3 2028	6,875	2,259	4,616	379	4,237	61.6%
Q4 2028	7,240	2,328	4,911	392	4,520	62.4%
Q1 2029	7,548	2,391	5,157	403	4,754	63.0%
Q2 2029	7,861	2,461	5,400	415	4,985	63.4%
Q3 2029	8,175	2,532	5,642	426	5,216	63.8%
Q4 2029	8,554	2,612	5,942	440	5,502	64.3%
Q1 2030	8,972	2,699	6,273	455	5,817	64.8%
Q2 2030	9,461	2,803	6,658	472	6,186	65.4%
Q3 2030	9,968	2,910	7,058	489	6,569	65.9%
Q4 2030	10,498	3,022	7,476	507	6,968	66.4%

USD millions unless stated; forecasts are model estimates.

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Finite assets and reinvestment

Opening net PPE is $2,165 million. The $421 million construction-in-progress amount is a July 3 disclosure carried forward as a proxy because the latest filing does not provide the exact split. Opening depreciable net assets are $1,744 million.

Cash capital expenditure is 5% of revenue, within the 4%-6% FY2027 guide range. New cash spending is 95% equipment and 5% buildings. Equipment uses a six-year life with current/next-quarter commissioning; buildings use 20 years with two/three-quarter lags. Opening CIP is 90% equipment and comes into service across four quarters.

Depreciation has a half-quarter first and last charge and stops after each cohort's finite life. Opening depreciable book is capped; assets remain in the PPE roll-forward. The $9 million remaining acquisition-amortization proxy runs over seven quarters. These commissioning allocations are analyst assumptions.

Sources: FY2027 Q1 Form10-Q; FY2026 Form10-K; S15 call. Future cohorts are selected assumptions.

Quarter	Capex	PPE depreciation	Closing PPE	CIP depreciation
Q4 2026	240	77	2,328	2
Q1 2027	255	88	2,495	6
Q2 2027	269	101	2,663	10
Q3 2027	286	115	2,834	14
Q4 2027	298	128	3,005	16
Q1 2028	312	139	3,178	16
Q2 2028	329	151	3,357	16
Q3 2028	344	163	3,538	16
Q4 2028	362	176	3,724	16
Q1 2029	377	190	3,911	16
Q2 2029	393	204	4,101	16
Q3 2029	409	219	4,291	16
Q4 2029	428	234	4,484	16
Q1 2030	449	251	4,682	16
Q2 2030	473	268	4,886	16
Q3 2030	498	286	5,098	16
Q4 2030	525	306	5,318	16

USD millions unless stated; forecasts are model estimates.

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Working capital and warranty conversion

Receivables track revenue using the latest actual relationship. Inventory and payables track manufacturing COGS excluding production depreciation. Other ordinary working-capital balances remain constant. The selected relationships approximate timing and do not establish customer-by-customer settlement schedules.

Warranty provision is extracted from the guide-calibrated factory cost and reinserted as revenue changes. Cash payments follow the opening warranty balance. The liability change reconciles provision expense with paid cash, avoiding a second warranty deduction.

Sources: FY2027 Q1 Form10-Q; selected forecast assumptions.

Quarter	Receivables	Inventory	Payables	WC cash use	Warranty provision	Warranty paid
Q4 2026	2,060	1,811	1,996	232	41	19
Q1 2027	2,193	1,840	2,027	129	43	21
Q2 2027	2,312	1,861	2,050	117	46	23
Q3 2027	2,457	1,898	2,091	142	49	25
Q4 2027	2,562	1,924	2,120	102	51	27
Q1 2028	2,679	1,966	2,166	112	53	29
Q2 2028	2,826	2,022	2,228	141	56	31
Q3 2028	2,951	2,068	2,279	121	58	33
Q4 2028	3,108	2,125	2,341	151	62	35
Q1 2029	3,240	2,175	2,396	127	64	37
Q2 2029	3,374	2,231	2,458	129	67	40
Q3 2029	3,509	2,288	2,521	129	70	42
Q4 2029	3,672	2,353	2,592	156	73	44
Q1 2030	3,851	2,425	2,671	172	76	47
Q2 2030	4,061	2,511	2,767	201	80	49
Q3 2030	4,279	2,600	2,865	209	85	52
Q4 2030	4,506	2,694	2,968	218	89	55

USD millions unless stated; forecasts are model estimates.

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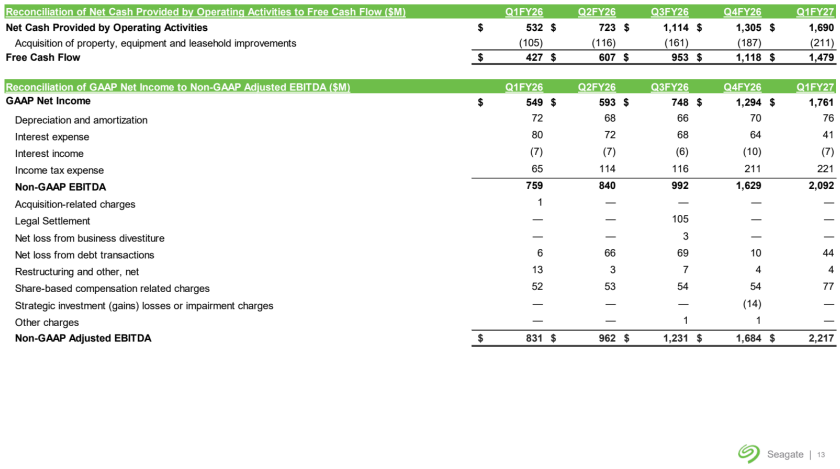
Cash flow, taxes and operating cash adjustments

The cash bridge starts with recurring GAAP-style earnings, adds ordinary depreciation, finite acquired amortization and noncash compensation, then deducts working-capital use, opening tax payments and remaining BIS payments. It replaces fixed lease expense with the disclosed lease-payment schedule and reconciles warranty reserves.

The normalized current tax rate is 16% and later rate 15.5%, with contemporaneous new-period cash payments and no selected NOL benefit. The $83 million discrete tax benefit in the actual quarter is excluded from recurring projection. The $706 million opening Pillar Two liability is paid once over eight quarters from Q1 2027 as a timing proxy.

Remaining BIS payments are $15 million per quarter up to $105 million. The separately funded securities escrow is already excluded from unrestricted cash. Future new leases beyond the disclosed schedule remain unmodeled.

Sources: FY2027 Q1 Form10-Q; S14 page13; selected settlement schedule.



Reconciliation of Net Cash Provided by Operating Activities to Free Cash Flow ($M)	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
Net Cash Provided by Operating Activities	**$ 532**	**$ 723**	**$ 1,114**	**$ 1,305**	**$ 1,690**
Acquisition of property, equipment and leasehold improvements	(105)	(116)	(161)	(187)	(211)
Free Cash Flow	**$ 427**	**$ 607**	**$ 953**	**$ 1,118**	**$ 1,479**

Reconciliation of GAAP Net Income to Non-GAAP Adjusted EBITDA ($M)	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
GAAP Net Income	**$ 549**	**$ 593**	**$ 748**	**$ 1,294**	**$ 1,761**
Depreciation and amortization	72	68	66	70	76
Interest expense	80	72	68	64	41
Interest income	(7)	(7)	(6)	(10)	(7)
Income tax expense	65	114	116	211	221
Non-GAAP EBITDA	**759**	**840**	**992**	**1,629**	**2,092**
Acquisition-related charges	1	—	—	—	—
Legal Settlement	—	—	105	—	—
Net loss from business divestiture	—	—	3	—	—
Net loss from debt transactions	6	66	69	10	44
Restructuring and other, net	13	3	7	4	4
Share-based compensation related charges	52	53	54	54	77
Strategic investment (gains) losses or impairment charges	—	—	—	(14)	—
Other charges	—	—	1	1	—
Non-GAAP Adjusted EBITDA	**$ 831**	**$ 962**	**$ 1,231**	**$ 1,684**	**$ 2,217**

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Issuer operating cash flow and free cash flow reconciliation.

Quarter	Recurring NI	DA + PPA	Noncash SBC	Opening tax paid	CFO	Capex	FCF
Q4 2026	2,084	79	57	0	1,996	240	1,756
Q1 2027	2,323	89	58	88	2,262	255	2,007
Q2 2027	2,522	102	59	88	2,488	269	2,219
Q3 2027	2,758	116	59	88	2,716	286	2,430
Q4 2027	2,926	129	60	88	2,938	298	2,640
Q1 2028	3,112	140	61	88	3,126	312	2,814
Q2 2028	3,344	152	62	88	3,342	329	3,013
Q3 2028	3,545	163	62	88	3,589	344	3,246
Q4 2028	3,796	176	63	88	3,825	362	3,463
Q1 2029	4,006	190	64	0	4,163	377	3,785
Q2 2029	4,217	204	65	0	4,387	393	3,994
Q3 2029	4,428	219	65	0	4,616	409	4,207
Q4 2029	4,686	234	66	0	4,864	428	4,436
Q1 2030	4,970	251	67	0	5,150	449	4,701
Q2 2030	5,299	268	68	0	5,470	473	4,997
Q3 2030	5,642	286	69	0	5,826	498	5,328
Q4 2030	6,004	306	70	0	6,201	525	5,676

USD millions unless stated; forecasts are model estimates.

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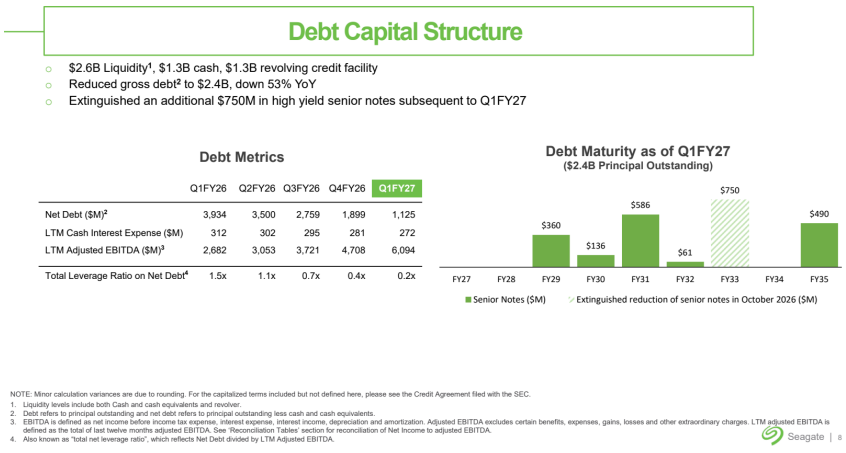
Debt repayment and unrestricted funding

The October 2 balance sheet contained $1,258 million unrestricted cash and $112 million restricted cash. Debt principal before the subsequent redemption was $2,383 million. The completed October 15 redemption removes $750 million in the December model quarter, leaving $1,633 million of principal before later scheduled maturities.

The expected $81 million associated book loss is treated as a conservative upper-bound cash-premium proxy. The exact cash premium is undisclosed; the zero-premium sensitivity shows its funding effect. The model charges no second recurring operating loss for this financing item.

Interest expense follows dated remaining tranches and cash earns a 2% annual yield. The December net-other expense uses the $25 million guide. No new debt or revolver borrowing is selected; remaining maturities, cash assets and any unfunded need remain visible.

Sources: FY2027 Q1 Form10-Q; S14 page8; S15 call.



Issuer debt capital structure. October 15 redemption must be reconciled to the earlier balance sheet.

Quarter	Opening cash	FCF	Principal paid	Premium proxy	Closing cash	Debt face
Q4 2026	1,258	1,756	750	81	1,998	1,633
Q1 2027	1,998	2,007	0	0	2,484	1,633
Q2 2027	2,484	2,219	0	0	3,023	1,633
Q3 2027	3,023	2,430	0	0	3,735	1,633
Q4 2027	3,735	2,640	0	0	6,137	1,633
Q1 2028	6,137	2,814	0	0	8,763	1,633
Q2 2028	8,763	3,013	0	0	11,588	1,633
Q3 2028	11,588	3,246	0	0	14,645	1,633
Q4 2028	14,645	3,463	0	0	17,920	1,633
Q1 2029	17,920	3,785	0	0	21,516	1,633
Q2 2029	21,516	3,994	360	0	24,961	1,273
Q3 2029	24,961	4,207	136	0	28,842	1,137
Q4 2029	28,842	4,436	0	0	33,088	1,137
Q1 2030	33,088	4,701	0	0	37,600	1,137
Q2 2030	37,600	4,997	0	0	42,407	1,137
Q3 2030	42,407	5,328	400	0	47,144	737
Q4 2030	47,144	5,676	0	0	52,629	737

USD millions unless stated; forecasts are model estimates.

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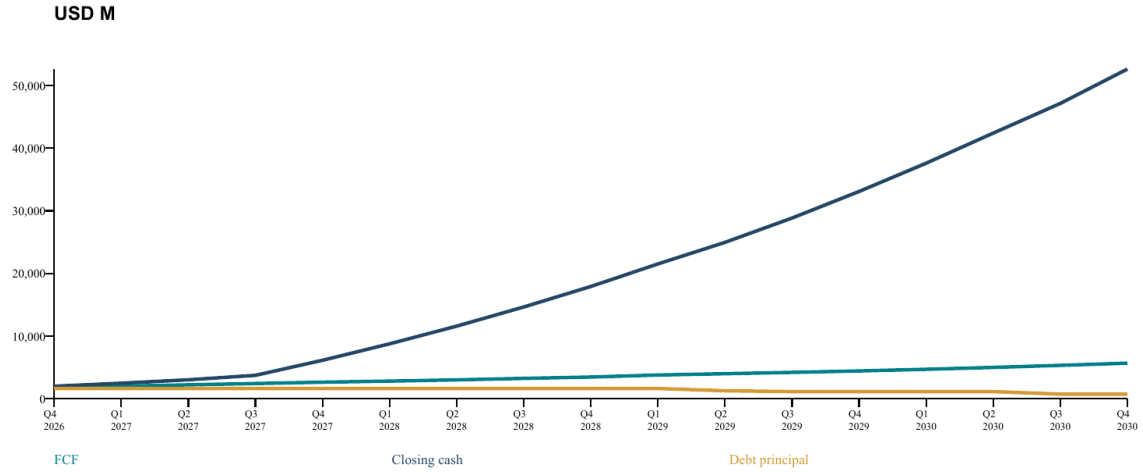
Capital returns and the share-count convention

The January 7 dividend is $0.76 per share, compared with the December cash payment at $0.74. From the March quarter, the model targets total distributions at 75% of positive free cash flow, with dividends first. Buybacks require cash above $750 million and remain capped by the existing $4.4 billion authorization.

December discretionary buybacks are zero as a lower-bound estimate. Management described continuing repurchases; the exact December amount is unknown. Award-settlement cash is modeled separately. A fixed $1,000 trading-price proxy converts buyback cash and net awards into a diagnostic common-share path.

The valuation denominator remains 233 million current/future diluted shares under the sanctioned convention. The actual October 2 common count is 229.710441 million and reported weighted diluted shares were 232 million. The common-share cash diagnostic does not alter the selected diluted denominator.

Sources: FY2027 Q1 Form10-Q; S13 release; S15 call.



USD M. Selected model estimates; probabilities are included once.

Quarter	Dividends	Buybacks	Award cash	Cash common shares M	Diluted proxy M
Q4 2026	170	0	15	229.77	233
Q1 2027	175	1,331	16	228.49	233
Q2 2027	174	1,490	16	227.06	233
Q3 2027	173	1,529	16	225.59	233
Q4 2027	171	50	16	225.60	233
Q1 2028	171	0	16	225.66	233
Q2 2028	172	0	17	225.73	233
Q3 2028	172	0	17	225.79	233
Q4 2028	172	0	17	225.85	233
Q1 2029	172	0	17	225.91	233
Q2 2029	172	0	17	225.98	233
Q3 2029	172	0	18	226.05	233
Q4 2029	172	0	18	226.11	233
Q1 2030	172	0	18	226.18	233
Q2 2030	172	0	18	226.25	233
Q3 2030	172	0	19	226.31	233
Q4 2030	172	0	19	226.38	233

USD millions unless stated; forecasts are model estimates.

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Recurring tax, lease and legal cash detail

Recurring pre-tax earnings are reduced by the selected normalized tax rate. New-period book and cash tax are equal in this forecast; settlement of the opening Pillar Two liability remains an additional cash use. The model assumes no unverified jurisdictional NOL benefit.

Fixed operating lease expense is already in operating earnings. Its cash adjustment replaces that amount with the disclosed annual payment schedule. Remaining BIS cash and the change in the warranty reserve enter CFO once.

Quarter	Pre-tax NI	Book / current cash tax	Opening tax cash	BIS cash	Lease cash adjustment	Warranty change
Q4 2026	2,481	397	0	15	(1)	22
Q1 2027	2,750	426	88	15	(2)	23
Q2 2027	2,985	463	88	15	(2)	23
Q3 2027	3,263	506	88	15	(4)	24
Q4 2027	3,463	537	88	15	(4)	24
Q1 2028	3,682	571	88	15	(4)	24
Q2 2028	3,957	613	88	15	(4)	25
Q3 2028	4,195	650	88	0	(3)	26
Q4 2028	4,492	696	88	0	(3)	26
Q1 2029	4,741	735	0	0	(3)	27
Q2 2029	4,990	773	0	0	(3)	27
Q3 2029	5,240	812	0	0	(5)	27
Q4 2029	5,546	860	0	0	(5)	28
Q1 2030	5,882	912	0	0	(5)	29
Q2 2030	6,271	972	0	0	(5)	31
Q3 2030	6,678	1,035	0	0	(5)	33
Q4 2030	7,106	1,101	0	0	(5)	34

USD millions unless stated; forecasts are model estimates.

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Adjusted profit to recurring shareholder earnings

Adjusted operating profit is the sanctioned valuation numerator. Recurring GAAP-style earnings deduct ordinary stock-compensation-related expense and finite acquisition amortization, then include debt interest, cash interest and normalized tax. Cash withholding on equity settlement is separately classified as financing.

The model keeps shrinking other-data-center volumes exposed to fixed manufacturing costs. Its later product gross losses are visible in the product table. They are part of the selected consolidated result.

Quarter	Adjusted OP	SBC related	PPA	Recurring OP	Net other expense	Recurring NI
Q4 2026	2,577	70	1	2,506	25	2,084
Q1 2027	2,836	71	1	2,764	14	2,323
Q2 2027	3,069	72	1	2,996	12	2,522
Q3 2027	3,346	73	1	3,272	9	2,758
Q4 2027	3,543	73	1	3,469	5	2,926
Q1 2028	3,751	74	1	3,676	(7)	3,112
Q2 2028	4,014	75	1	3,937	(20)	3,344
Q3 2028	4,237	76	0	4,161	(34)	3,545
Q4 2028	4,520	77	0	4,443	(49)	3,796
Q1 2029	4,754	78	0	4,676	(66)	4,006
Q2 2029	4,985	79	0	4,906	(83)	4,217
Q3 2029	5,216	80	0	5,136	(104)	4,428
Q4 2029	5,502	81	0	5,421	(125)	4,686
Q1 2030	5,817	82	0	5,736	(146)	4,970
Q2 2030	6,186	83	0	6,103	(169)	5,299
Q3 2030	6,569	84	0	6,485	(193)	5,642
Q4 2030	6,968	85	0	6,883	(222)	6,004

USD millions unless stated; forecasts are model estimates.

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Annual financial reconciliation

The four full calendar years below contain four modeled quarters each. Fiscal-year reporting uses the nearest-quarter calendar convention: FY2027 combines the October 2 actual with the first three current forecast quarters. The underlying historical forecast remains separately preserved.

Annual operating profit, cash flow and distributions are sums of the same quarter-level model. Probability-weighted ratios are calculated from weighted dollar amounts.

Calendar year	Revenue	Gross profit	Opex	Adjusted OP	CFO	Capex	FCF
2027	22,188	14,108	1,313	12,795	10,405	1,109	9,295
2028	26,937	18,015	1,493	16,522	13,882	1,347	12,535
2029	32,137	22,141	1,684	20,457	18,029	1,607	16,422
2030	38,897	27,464	1,923	25,540	22,647	1,945	20,702

USD millions unless stated; forecasts are model estimates.

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Analytical score and failure channels

The seven-category assessment totals 47 of 60 points, or 78 of 100. The protected Excel Base remains 78. Qualified execution supports the core score; public earnings coverage limits the discovery premium.

Failure channels include customer deployment delays, unsuccessful HAMR qualification, higher input or warranty costs, competing accepted supply, workload substitution and cash demands from tax, legal or capital commitments. Source-supported risks overlap economically; the score does not independently compound the scenario probabilities.

Category	Points	Assessment
Core thesis	18	Qualified HAMR heads/media, density and customer acceptance create durable execution barriers; viable peers remain.
Cycle stage	9	Record profits with deployed HAMR and allocated2028 volume; ramp remains underway.
TAM expansion	8	Retained agent context and enterprise data add demand, while physicalAI remains early and modeled within storage intensity.
Catalysts	5	Mozaic4 qualifications, higherDecember shipments and recurring2028 contract pricing.
Macro	9	Cloud retention and constrained supply; compute funding and external component costs constrain translation.
Alpha	2	Public well-covered earnings; edge resides in physical and cash reconciliation.
Risks	-4	Demand/timing, manufacturing/yields, competition/substitution, financing/regulation each one.

Analytical scoring; separate from the selected financial probabilities and protected Excel Base.

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Fourteen complete forward-four-quarter valuations

Each quarter values that quarter plus the following three adjusted operating-profit terms at 20x, divided by 233 million diluted shares. The final three operating quarters support earlier complete windows and have no incomplete stand-alone ceiling.

Q4 2027 uses Q4 2027, Q1 2028, Q2 2028 and Q3 2028. The selected result is $1,334.40. The signed financial outputs remain exact in the linked model.

Valuation quarter	Window end	Four-quarter OP	Multiple	Shares M	Ceiling / share
Q4 2026	Q3 2027	11,828	20x	233	$1,015.30
Q1 2027	Q4 2027	12,795	20x	233	$1,098.25
Q2 2027	Q1 2028	13,710	20x	233	$1,176.84
Q3 2027	Q2 2028	14,655	20x	233	$1,257.91
Q4 2027	Q3 2028	15,546	20x	233	$1,334.40
Q1 2028	Q4 2028	16,522	20x	233	$1,418.21
Q2 2028	Q1 2029	17,525	20x	233	$1,504.27
Q3 2028	Q2 2029	18,496	20x	233	$1,587.67
Q4 2028	Q3 2029	19,475	20x	233	$1,671.67
Q1 2029	Q4 2029	20,457	20x	233	$1,755.97
Q2 2029	Q1 2030	21,521	20x	233	$1,847.27
Q3 2029	Q2 2030	22,721	20x	233	$1,950.29
Q4 2029	Q3 2030	24,074	20x	233	$2,066.41
Q1 2030	Q4 2030	25,540	20x	233	$2,192.29

USD millions unless stated; forecasts are model estimates.

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Explicit operating-profit chains 1-4

All four operating terms are shown for each valuation window. These terms already contain the selected joint probabilities.

Valuation quarter	Operating quarter / F4 sum	Adjusted OP / ceiling
Q4 2026	Q4 2026	2,577
	Q1 2027	2,836
	Q2 2027	3,069
	Q3 2027	3,346
Sum x20 /233	11,828	$1,015.30
Q1 2027	Q1 2027	2,836
	Q2 2027	3,069
	Q3 2027	3,346
	Q4 2027	3,543
Sum x20 /233	12,795	$1,098.25
Q2 2027	Q2 2027	3,069
	Q3 2027	3,346
	Q4 2027	3,543
	Q1 2028	3,751
Sum x20 /233	13,710	$1,176.84
Q3 2027	Q3 2027	3,346
	Q4 2027	3,543
	Q1 2028	3,751
	Q2 2028	4,014
Sum x20 /233	14,655	$1,257.91

USD millions unless stated; forecasts are model estimates.

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Explicit operating-profit chains 5-8

All four operating terms are shown for each valuation window. These terms already contain the selected joint probabilities.

Valuation quarter	Operating quarter / F4 sum	Adjusted OP / ceiling
Q4 2027	Q4 2027	3,543
	Q1 2028	3,751
	Q2 2028	4,014
	Q3 2028	4,237
Sum x20 /233	15,546	$1,334.40
Q1 2028	Q1 2028	3,751
	Q2 2028	4,014
	Q3 2028	4,237
	Q4 2028	4,520
Sum x20 /233	16,522	$1,418.21
Q2 2028	Q2 2028	4,014
	Q3 2028	4,237
	Q4 2028	4,520
	Q1 2029	4,754
Sum x20 /233	17,525	$1,504.27
Q3 2028	Q3 2028	4,237
	Q4 2028	4,520
	Q1 2029	4,754
	Q2 2029	4,985
Sum x20 /233	18,496	$1,587.67

USD millions unless stated; forecasts are model estimates.

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Explicit operating-profit chains 9-12

All four operating terms are shown for each valuation window. These terms already contain the selected joint probabilities.

Valuation quarter	Operating quarter / F4 sum	Adjusted OP / ceiling
Q4 2028	Q4 2028	4,520
	Q1 2029	4,754
	Q2 2029	4,985
	Q3 2029	5,216
Sum x20 /233	19,475	$1,671.67
Q1 2029	Q1 2029	4,754
	Q2 2029	4,985
	Q3 2029	5,216
	Q4 2029	5,502
Sum x20 /233	20,457	$1,755.97
Q2 2029	Q2 2029	4,985
	Q3 2029	5,216
	Q4 2029	5,502
	Q1 2030	5,817
Sum x20 /233	21,521	$1,847.27
Q3 2029	Q3 2029	5,216
	Q4 2029	5,502
	Q1 2030	5,817
	Q2 2030	6,186
Sum x20 /233	22,721	$1,950.29

USD millions unless stated; forecasts are model estimates.

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Explicit operating-profit chains 13-14

All four operating terms are shown for each valuation window. These terms already contain the selected joint probabilities.

Valuation quarter	Operating quarter / F4 sum	Adjusted OP / ceiling
Q4 2029	Q4 2029	5,502
	Q1 2030	5,817
	Q2 2030	6,186
	Q3 2030	6,569
Sum x20 /233	24,074	$2,066.41
Q1 2030	Q1 2030	5,817
	Q2 2030	6,186
	Q3 2030	6,569
	Q4 2030	6,968
Sum x20 /233	25,540	$2,192.29

USD millions unless stated; forecasts are model estimates.

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Bounded sensitivities and funding checks

The sensitivities rerun the same financial architecture with one specified control changed. They expose operating leverage, qualification and cash timing without becoming additional probability-weighted price targets.

The selected minimum cash across all branches is 1,998 million and maximum unfunded need is 0 million. The absence of a modeled funding shortfall depends on the selected volume, margins, capital spending, tax and return limits.

Diagnostic	Active ceiling	Minimum branch cash	Maximum funding need
No scarcity increment	$1,296.36	1,998	0
Full scarcity increment	$1,423.17	1,998	0
All qualification delay	$1,217.93	1,998	0
No qualification delay	$1,373.23	1,998	0
All competitor concession	$1,322.88	1,998	0
Six-percent capex	$1,330.42	1,950	0
Twenty-percent cash tax	$1,334.40	1,899	0
No new buybacks	$1,334.40	1,998	0
Zero redemption cash premium	$1,334.40	2,079	0
237M diluted valuation shares	$1,311.88	1,998	0
Commissioning delay four quarters	$1,350.99	1,994	0

USD millions unless stated; forecasts are model estimates.

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Dated checkpoints and thesis tests

The next release should reconcile accepted exabytes, product mix, gross margin, cash capex, tax payments and shares against the December guide. The roadmap requires field qualification and paid manufacturing execution. Contract visibility is useful only as shipments convert into cash at the selected economics.

Checkpoint	Evidence to monitor	Effect on the model
December quarter	Guide delivery, accepted EB, realized pricing,233M denominator	Reanchor revenue, profit, cost and cash
2027 production ramp	Mozaic qualification, process yields, warranty experience	Accepted-capacity and cost paths
Contract renewal	Producer net realization and uncovered cohorts	Scarcity eligibility, phase and endpoint
2028 competing supply	Qualified capacity and concessions	Competitive probability and timing
Each filing	Tax settlement, capital needs, awards, cash returns	Cash floor, asset cohorts and dilution diagnostics

Forward monitoring schedule; future outcomes remain conditional.

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Historical exhibits and preserved forecast vintage

The previously published Q3 2026 forecast remains $4,100 million revenue, $2,050 million adjusted OP and a $868.576471 four-quarter ceiling at 20x and 231 million shares. It records the assumptions available at that publication date. The latest actual period is separately reported above.

The July outlook and accounting exhibits below retain original source pixels and their original dates. Current analysis uses the October 27/28 evidence and current model.

Guidance Q1FY27

Q1FY27	
Revenue	$4.1 billion ± $100 million
Operating Margin[1] (non-GAAP)	Approximately 50% of revenue
Diluted Earnings Per Share[1,2] (non-GAAP)	$7.30 ± $0.20

At the mid point of the guidance[3]:

- Operating Expense (non-GAAP) expected to be ~$300 million
- Tax Expense (non-GAAP) expected to be ~16% of income before taxes
- Diluted Shares O/S for EPS (non-GAAP) expected to be ~231 million including estimated dilution from Exchangeable Senior Notes due 2028[4] of ~2 million shares

1. We have not reconciled our non-GAAP diluted EPS guidance for fiscal first quarter 2027 to the most directly comparable GAAP measure, other than estimated share-based compensation expenses, because material items that may impact these measures are out of our control and/or cannot be reasonably predicted, including, but not limited to, net (gain) loss from debt transactions, strategic investment losses (gains) or impairment charges, income tax adjustments on these measures, and other charges or benefits that may arise. The amounts of these measures are not currently available but may be material to future results. A reconciliation of our historical non-GAAP financial measures to their nearest GAAP equivalent is contained in this release.
2. Guidance regarding non-GAAP diluted earnings per share excludes known pre-tax charges related to estimated share-based compensation expenses of $0.26 per share.
3. Guidance based on announced tariff policies as of July 28th, 2026, and reflects minimal direct impact to Q1FY27 financial outlook.
4. Refer to Illustrative Table of Potential Dilutive Impact of Exchangeable Senior Notes due 2028

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Historical source: July28 FY2027 Q1 outlook, original page7. The original published image and numbers are preserved.

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Historical accounting source exhibit

Historical source: July28 presentation reconciliation. This dated exhibit supports the original forecast vintage. The October actual reconciliation governs the current starting point.

Reconciliation of GAAP Gross Profit to Non-GAAP Gross Profit ($M)	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26	FY26
GAAP Gross Profit	**$ 914**	**$ 1,037**	**$ 1,176**	**$ 1,447**	**$ 1,898**	**$ 5,558**
Amortization of acquired intangible assets	—	3	2	2	1	8
Purchase order cancellation fees	(5)	—	—	—	—	—
Restructuring and other, net	3	—	—	—	—	—
Share-based compensation	14	14	13	14	13	54
Non-GAAP Gross Profit	**$ 926**	**$ 1,054**	**$ 1,191**	**$ 1,463**	**$ 1,912**	**$ 5,620**
GAAP Gross Margin %	37.4%	39.4%	41.6%	46.5%	52.3%	45.6%
Non-GAAP Gross Margin %	37.9%	40.1%	42.2%	47.0%	52.7%	46.1%

Reconciliation of GAAP Operating Expenses to Non-GAAP Operating Expenses ($M)	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26	FY26
GAAP Operating Expenses	**$ 346**	**$ 343**	**$ 333**	**$ 449**	**$ 339**	**$ 1,464**
Acquisition-related charges	(2)	(1)	—	—	—	(1)
Legal settlement	—	—	—	(105)	—	(105)
Restructuring and other, net	(13)	(13)	(3)	(7)	(4)	(27)
Share-based compensation	(45)	(38)	(40)	(40)	(41)	(159)
Other charges	—	—	—	(1)	(1)	(2)
Non-GAAP Operating Expenses	**$ 286**	**$ 291**	**$ 290**	**$ 296**	**$ 293**	**$ 1,170**

Reconciliation of GAAP Income From Operations to Non-GAAP Income From Operations ($M)	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26	FY26
GAAP Income From Operations	**$ 568**	**$ 694**	**$ 843**	**$ 998**	**$ 1,559**	**$ 4,094**
Acquisition-related charges	2	1	—	—	—	1
Amortization of acquired intangible assets	—	3	2	2	1	8
Legal settlement	—	—	—	105	—	105
Purchase order cancellation fees	(5)	—	—	—	—	—
Restructuring and other, net	16	13	3	7	4	27
Share-based compensation	59	52	53	54	54	213
Other charges	—	—	—	1	1	2
Non-GAAP Income From Operations	**$ 640**	**$ 763**	**$ 901**	**$ 1,167**	**$ 1,619**	**$ 4,450**
GAAP Operating Margin %	23.2 %	26.4 %	29.8 %	32.1 %	43.0 %	33.6 %
Non-GAAP Operating Margin %	26.2 %	29.0 %	31.9 %	37.5 %	44.6 %	36.5 %

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July28 supplemental information, page11. Original source image preserved.

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Source completeness and remaining uncertainty

The October 27 and July 28 issuer-hosted corrected earnings transcripts were reviewed through prepared remarks, every question-and-answer turn and closing. The latest transcript has22 pages and the prior one19. Official audio was not independently compared.

The original SEC HTML downloads returned403; retained primary-source web extractions support the filing sections used. Failed payloads are registered separately. Product-level margins, current exact CIP, manufacturer capture from private transaction checks and detailed future customer-pricing cohorts remain unavailable.

Near-term consolidated totals have HIGH source confidence. Product allocations, cost decomposition, future qualification, commissioning and outer-year financial outcomes use labeled LOW-confidence model assumptions. The report preserves source dates, share conventions and exact model identities.

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Source register 1

Primary issuer originals, extraction scope and hashes are preserved in the source registry accompanying the model. Hashes below show a shortened identity; the canonical registry carries full SHA-256 values.

Source	Direct link	SHA-256 prefix
S01_q1_release.html	https://investors.seagate.com/news/news-details/2026/Seagate-Technology-Reports-Fiscal-First-Quarter-2027-Financial-Results/default.aspx	003182a4a5e6dbf2
S05_q4_transcript.pdf	https://s24.q4cdn.com/101481333/files/doc_financials/2026/q4/STX-US-CORRECTED-TRANSCRIPT-Seagate-Technology-Holdings-PlcSTXUS-Q4-2026-Earnings-Call-28-ET-PM-27-07-2026-2026-07-27-0.pdf	4c2e46e1b34cf174
S13_2027_First_news.pdf	https://s24.q4cdn.com/101481333/files/doc_financials/2027/q1/STX-FQ1-27-Press-Release.pdf	9f84f85ebfb8784b
S14_2027_First_supplemental-info.pdf	https://s24.q4cdn.com/101481333/files/doc_financials/2027/q1/STX-FQ1-27-Supplemental.pdf	e5f8d26a8beacf8e
S15_2027_First_transcript.pdf	https://s24.q4cdn.com/101481333/files/content_files/STX-US-CORRECTED-TRANSCRIPT-Seagate-Technology-Holdings-PlcSTXUS-Q1-2027-Earnings-Call-27-ET-PM-26-10-2026-2026-10-26-0.pdf	6eec13fb64272d68

Issuer source register; dates and completeness are discussed in the relevant sections.

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Source register 2

Primary issuer originals, extraction scope and hashes are preserved in the source registry accompanying the model. Hashes below show a shortened identity; the canonical registry carries full SHA-256 values.

Source	Direct link	SHA-256 prefix
S16_2026_Fourth_news.pdf	https://s24.q4cdn.com/101481333/files/doc_financials/2026/q4/STX-FQ4-26-Press-Release.pdf	66c22df1d719117b
S17_2026_Fourth_supplemental-info.pdf	https://s24.q4cdn.com/101481333/files/doc_financials/2026/q4/v2/STX-FQ4-26-Supplemental.pdf	057294671cdfe86d

Issuer source register; dates and completeness are discussed in the relevant sections.

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Filings and supplementary source register

The SEC links below identify the original filings. The source packet retains supported primary text extractions and the original403 download responses. The private broker exhibit remains dated October20,2026 and is retained for licensed local research.

Source	Direct link / date	Coverage
FY2027 Q1 Form10-Q	https://www.sec.gov/Archives/edgar/data/1137789/000113778926000309/stx-20261002.htm	October2 quarter; primary text extraction
FY2026 Form10-K	https://www.sec.gov/Archives/edgar/data/1137789/000113778926000159/stx-20260703.htm	July3 year-end; primary text extraction
TOS-1	https://toshiba.semicon-storage.com/ap-en/company/news/news-topics/2026/10/storage-20261002-1.html	October2 competing capacity disclosure
HDD-P2	Morgan Stanley; October20,2026 at 03:44 UTC	Owner-supplied private exhibit; pages2-3

Direct source identities; model assumptions and completeness limits are stated in the relevant sections.